DESIGN PROTOTYPE — SAMPLE EDITION. The organisations, people, quotes and figures in this edition are fictional and are not current news.

over coffee

Fri 2 Oct

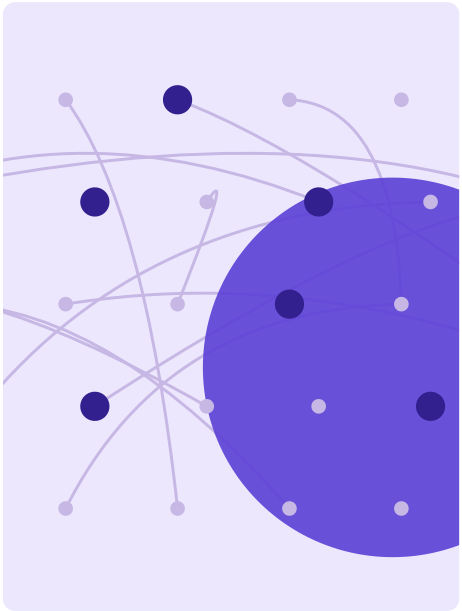
Morning. *Here's what happened.*

Five things worth knowing · about 3 minutes

AI

The 30-second version

1. Kestrel 4 is out, it's 60% cheaper, and there's a free mini version.
2. Draft rules would make the biggest AI models pass an outside audit before launch.
3. An AI weather model beat the usual one 10 days out — early days, not yet peer reviewed.
4. The wait for AI chips is down from 26 weeks to nine.
5. More firms use AI, but only 9% can prove it saves money.



01 AI ● CONFIRMED

Okay, here's what happened

AI just got a lot cheaper

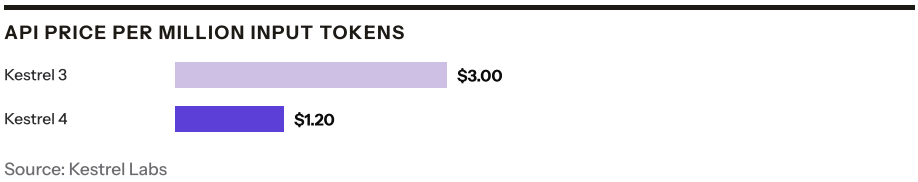
Kestrel Labs launched Kestrel 4 — and cut its price by 60%.

The short version: Cheaper, a bit smarter, and a free mini version you can run yourself.

Kestrel Labs released its new model, Kestrel 4, on Thursday. The headline isn't how clever it is. It's the price: $1.20 per million input tokens, 60% less than the last version.

They also gave away a smaller sibling, Kestrel 4 Mini, with open weights. Translation: anyone can download it and run it themselves. Reviewers got it going on a single 48GB graphics card.

Kestrel says the new model solves 71% of its coding test, up from 54%. Small asterisk: that's Kestrel's own test, and nobody outside has checked it yet.



Why people care

When AI gets cheaper, the projects companies said "not yet" to suddenly add up. Expect the other labs to answer on price soon.

> *"Capability is no longer the bottleneck. Cost and reliability are."*
>
> — Ilse Moreau, Chief executive, Kestrel Labs, via Meridian Wire

DID YOU KNOW?

A "token" is roughly three-quarters of an English word, so a million tokens is about 750,000 words.

Tell me more overcoffee.app/s/preview-single-10/st-ai-kestrel-4?m=s

02 AI ● CONFIRMED

Rules are coming

Regulators want big AI models checked before they launch

A new draft rulebook says the most powerful models need an outside audit first. Nobody's sure yet who counts as "most powerful".

The short version: Outside checks before big AI launches. Details still being argued over.

The Atlantic Digital Standards Board has put out a draft code: if you build one of the most capable AI models, you'd need an independent audit before release — and you'd have to publish a summary of what it found.

People have until 15 December to respond, and the plan is for the rules to apply from 1 July 2027. The industry's main complaint so far is that the line between "covered" and "not covered" is fuzzy.

Why it's a big deal

Right now, AI companies mostly grade their own homework. This would change that — if there are enough auditors to go around. One industry body counts fewer than 10.

> *"The intent is reasonable; the threshold is not yet workable."*
>
> — Marta Lindqvist, Open Compute Alliance, via Northgate Times

Tell me more overcoffee.app/s/preview-single-10/st-ai-audit-code?m=s

03 AI ○ EMERGING · NOT YET PEER REVIEWED

Science corner

An AI just got better at predicting the weather

Ten days out, it beat the traditional model most of the time. Farmers are paying attention.

The short version: Promising early results. Not peer reviewed yet.

Researchers at the Northern Meteorological Service and Aster Systems built a machine-learning weather model. Over two years of testing, it beat the best traditional model on 87% of the things they measured, 10 days ahead.

Big caveat: the study hasn't been peer reviewed yet. The service will run it next to its usual model from November, but official forecasts won't change for now.

Why it matters to you

If you farm, ten days of reliable weather is the difference between guessing and planning when to plant, spray or harvest.

> *"Ten days is the difference between guessing and planning."*
>
> — Thandi Mokoena, Agronomist, via Field & Furrow

Tell me more overcoffee.app/s/preview-single-10/st-ai-weather-model?m=s

04

AI ● CONFIRMED

Supply-chain news, but it matters

The AI chip queue is finally shrinking

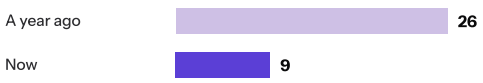
Waiting for AI chips used to take half a year. Now it's about nine weeks.

The short version: Chips are easier to get. Good news for everyone who isn't a tech giant.

Varda Semiconductor, which makes the chips AI runs on, says the wait for its accelerators is down to nine weeks. A year ago it was 26.

Business is still booming: data-centre revenue jumped 41% to $8.4bn. Investors liked it — shares rose 6% after hours.

LEAD TIME FOR V-SERIES ACCELERATORS, WEEKS



Source: Varda Semiconductor

Here's the thing

For two years, getting your hands on chips decided who could play in AI. Shorter queues give smaller companies a real shot.

> *"The shortage phase is behind us."*
>
> — Priya Raman, Chief financial officer, Varda Semiconductor, via Meridian Wire

Tell me more overcoffee.app/s/preview-single-10/st-ai-chip-lead-times?m=s

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05

AI ● CONFIRMED

Reality check

Lots of companies use AI now. Few can prove it saves money

38% of firms have AI running for real. Just 9% can point to savings.

The short version: AI use is up. Proof it's worth it, not so much.

The Halberd Institute asked 1,200 companies about AI. 38% now have at least one AI system actually running — up from 22% last year.

But only 9% can point to real savings across the company. The biggest headache? Messy data (61%), then cost (47%). These are the companies' own answers, so treat them as self-reported.

COMPANIES WITH AI IN PRODUCTION, %



Source: Halberd Institute

Why people care

Everyone's trying it. The next question bosses will ask is: "Is it paying off?"

Tell me more overcoffee.app/s/preview-single-10/st-ai-enterprise-survey?m=s

Three questions over coffee

Were you paying attention? Everything's in today's edition.

1. **How much did Kestrel Labs cut its API price?**

   A 20% · B 60% · C 90%

2. **When does consultation on the draft audit code close?**

   A 15 December · B 1 July 2027 · C It already has

3. **On what share of variables did the AI weather model come out ahead?**

   A Half · B 87% · C All of them

Answers: 1B · 2A · 3B

IF YOU REMEMBER ONE THING…

AI is getting cheaper faster than it's getting smarter — and that's what will actually change how people use it.

That's it. You're all caught up — go enjoy your coffee.

Prepared 10:26 UTC · 23 sources from 16 publishers reviewed · 8 developments considered · 5 published · Quality-checked, 11 of 11 checks passed